ORDINANCE NO. 586

AN ORDINANCE OF THE CITY OF RECTOR, ARKANSAS, 72450 GRANTING A FRANCHISE TO CLAY COUNTY CONNECT FOR THE OPERATION OF AN INTERNET SERVICE SYSTEM, SETTING FORTH CONDITIONS ACCOMPANYING THE GRANT OF FRANCHISE AND FOR OTHER PURPOSES.

WHEREAS, Clay County Connect proposes to operate an internet service system pursuant to Ordinance No. 586, and City intends, by the adoption of this franchise, to authorize the continued operation of a system following expiration of the current franchise.

NOW THEREFORE, BE IT ORDAINED BY THE CITY COUNCIL OF THE CITY RECTOR, ARKANSAS, as follows:

SECTION 1
Definition of Terms

For the purpose of this ordinance (the "Ordinance"), the following terms, phrases, words and abbreviations shall have the meanings ascribed to them below. When not inconsistent with the context, words used in the present tense include the future tense, words in the plural number include the singular number, and words in the singular number include the plural number.

a. "Affiliate" means an entity which owns or controls, is owned or controlled by, or is under common ownership or control with Grantee.

b. "Internet System" means a facility, consisting of a set of closed transmission paths and associated signal generation, reception, and control equipment or other equipment that is designed to provide Internet Service or other service to Subscribers.

c. "FCC" means The Federal Communications Commission, or successor governmental entity thereto.

d. "Franchise" means the initial authorization, or renewal thereof, issued by Franchising Authority, whether such authorization is designated as a franchise, permit, license, resolution, contract, certificate, or otherwise, which authorizes construction and operation of the Internet System for the purpose of offering Internet Service or other service to Subscribers.

e. "Franchising Authority" means the City Rector, Arkansas or the lawful successor, transferee, or assignee thereof.

f. "Grantee" means Clay County Connect or the lawful successor, transferee, or assignee thereof.

g. "Gross Revenues" means the monthly revenues for the provision of Internet Service received by Grantee from Subscribers located within the Service Area.

h. "Person" means an individual, partnership, association, joint stock company, trust corporation, or governmental entity.

i. "Public Way" means the surface of, and the space above and below, any public street, highway, freeway, bridge, land path, alley, court, boulevard, sidewalk, parkway, way, lane public way, drive, circle, or other public right-of-way, including, but not limited to, public utility easements, dedicated utility strips or rights-of-way dedicated for compatible uses and any temporary or permanent fixtures or improvements located thereon now or hereafter held by Franchising Authority in the Service Area which shall entitle Franchising Authority and Grantee to the use thereof for the purpose of installing, operating, repairing, and maintaining the Internet System. "Public Way" also means any easement now or hereafter held by Franchising Authority within the Service Area for the purpose of public travel, or for utility or public service use dedicated for compatible uses, and shall include other easements or rights-of-way as shall within their proper use and meaning entitle franchising Authority and Grantee to the use thereof for the purposes of installing or transmitting Grantee's Internet Service or other service over poles, wires, Internets, conductors, ducts, conduits, vaults, manholes, pedestals, amplifiers, appliances, attachments, and other related property or equipment as may be necessary or appurtenant to the Internet System.

j. "Service Area" means the present municipal boundaries of Franchising Authority if Franchising Authority is a township, and shall include any additions thereto by annexation or other legal means; and means the county boundaries of Franchising Authority if Franchising Authority is a county.

k. "Subscriber" means a user of the Internet System who lawfully receives Internet Service or other service there from with Grantee's express permission.

SECTION 2
Grant of Franchise

2.1 Grant. Franchising Authority hereby grants to Grantee a nonexclusive Franchise which authorizes Grantee to construct and operate a Internet System and offer Internet Service and other service in, along, among, upon, across, above, over, under, or in any manner connected with Public Ways within the Service Area and for that purpose to erect, install, construct, repair, replace, reconstruct, maintain, or retain in, on, over, under, upon, across, or along any Public Way and all extensions thereof and additions thereto, such poles, wires, Internets, conductors, ducts, conduits, vaults, manholes, pedestals, amplifiers, appliances, attachments, and other related property or equipment as may be necessary or appurtenant to the Internet System.

2. Term. The Franchise granted pursuant to this Ordinance shall be for a term of Fifteen (15) years.

2.3 Acceptance. Grantee shall accept the Franchise granted pursuant hereto by signing this Ordinance and filing same with the City Clerk or other appropriated official or agency of Franchising Authority within sixty (60) days after the passage and final adoption of this Ordinance.

2.4 Favored Nations. In the event Franchising Authority enters into a franchise, permit, license, authorization, or other agreement of any kind with any Person other than Grantee to enter into Franchising Authority's streets and public ways for the purpose of constructing or operating a Internet System or providing Internet Service to any part of the Service Area, the material provisions thereof shall be reasonable comparable to those contained herein, in order that one operator not be granted an unfair competitive advantage over another, and to provide all parties equal protection under the law.

2.5 Renewal of Franchise. By mutual consent, the Grantee shall have the option to renew this Franchise for an additional period not to exceed Fifteen (15) years. Should Grantee desire to exercise this option, it shall so notify the franchising Authority in writing, not less than three (3) months prior to expiration of this Franchise.

SECTION 3
Standards of Service

3.1 Conditions of Street Occupancy. All transmission and distribution structures, poles, other lines, and equipment installed or erected by Grantee pursuant to the terms hereof shall be located so as to cause a minimum of interference with the proper

use of Public Ways and with the rights and reasonable convenience of property owners who own property that adjoins any of such Public Ways.

3.2 Technical Requirements. Grantee shall maintain a System that meets all technical standards applied by the Federal Communications Commission. Procedures for testing the technical capacity and capability of the system shall conform to technical and testing standards applied to Internet systems by the FCC and shall be filed annually with the city. Grantee shall maintain responsible and competent surveillance over Grantee's receipt and transmission of signals at least for the period from 0800 to 2400 hours daily to the end that interruptions, loss of coverage, distorted pictures, etc., cause by Grantee's equipment or operations are monitored and promptly corrected. Grantee will provide carrier grade internet access as stated in the 3 (three) phases in Appendix A. Grantee will provide SLA (Service Level Agreement) to guarantee speeds and uptime.

3.3 Restoration of Public Ways. If during the course of Grantee's construction, operation, or maintenance of the Internet System there occurs a disturbance of any Public Ways and with the rights and reasonable convenience of property owners who own property that adjoins any of such Public Ways.

3.4 Relocation at Request of Franchising Authority. Upon its receipt of reasonable advance notice, not to be less than 30 days, Grantee shall, at its own expense, protect, support, temporarily disconnect, relocate in the Public Way, or remove from the Public Way, any property of Grantee when lawfully required by Franchising Authority by reason of traffic conditions, public safety, street abandonment, freeway and street construction, change or establishment of street grade, installation of sewers, drains, gas or water pipes, or any other type of structures or improvements by Franchising Authority; but, Grantee shall in all cases have the right of abandonment of its property. If public funds are available to any company using such street, easement, or right of way for the purpose of defraying the cost of any of the foregoing, such funds shall also be made available to Grantee.

3.5 Relocation at Request of Third Party. Grantee shall, on the request of any Person holding a building moving permit issued by Franchising Authority, temporarily raise or lower its wires to permit the moving of such building, provided: (a) the expense of such temporary raising or lowering of wires is paid by such Person, including, if required by Grantee, making such payment in advance; and (b) Grantee is given not fewer than ten (10) business days advance written notice to arrange for such temporary wire changes.

3.6 Trimming of Trees and Shrubbery. Grantee shall have the authority to trim trees or other natural growth overhanging any of its Internet System in the Service Area so as to prevent branches from coming in contact with Grantee's wires, cables, or other equipment. Grantee shall reasonably compensate Franchising Authority or property

owner for any damages caused by such trimming or shall, in its sole discretion and at its own cost and expense, reasonably replace all trees or shrubs damaged as a result of any construction of the System undertaken by Grantee. Such replacement shall satisfy any and all obligations Grantee may have to Franchising Authority or property owner pursuant to the terms of this Section. Any and all streets or public property which are disturbed or damaged by the Grantee during the construction, operation, or maintenance of the System shall be promptly repaired by Grantee, at its expense and to the condition prior to the disturbance or damage.

3.7 Safety Requirements. Construction, installation, and maintenance of the Internet System shall be performed in an orderly and workmanlike manner. All such work shall be performed in substantial accordance with applicable FCC or other federal, state, and local regulations. The Internet System shall not unreasonably endanger or interfere with the safety of Persons or property in the Service Area.

3.8 Aerial and Underground Construction. In those areas of the Service Area where all of the transmission or distribution facilities of the respective public utilities providing telephone communications and electric services are underground, Grantee likewise shall construct, operate, and maintain all of its transmission and distribution facilities underground; provided that such facilities are actually capable of receiving Grantee's Internet and other equipment without technical degradation of the Internet System's signal quality. In those areas of the Service Area where the transmission or distribution facilities of the respective public utilities providing telephone communications and electric services are both aerial and underground, Grantee shall have the sole discretion to construct, operate, and maintain all of its transmission and distribution facilities, or any part thereof, aerially or underground. It is understood that underground instillation will be the preferred method, unless Grantor determines such is not reasonable in certain areas.

3.9 Required Extensions of Service. The Internet System, as constructed as of the date of the passage and final adoption of this Ordinance, substantially complies with the material provisions hereof. Grantee is hereby authorized to extend the Internet System as necessary, as desirable, or as required pursuant to the terms hereof within the Service Area. Whenever Grantee shall receive a request for service from at least fifteen (15) Subscribers within one-quarter Internet mile) of its trunk or distribution Internet, it shall extend its Internet System to such Subscribers for system extension, other than the usual connection fees for all Subscribers; provided that such extension is technically feasible, and if it will not adversely affect the operation, financial condition, or market development of the Internet System, or as provided for under Section 3.10 of this Ordinance.

3.10 Subscriber Charges for Extensions of Service. No Subscriber shall be refused service arbitrarily.

SECTION 4

Regulation by Franchising Authority

1. Franchise Fee.

(A) Grantee shall pay to Franchising Authority a franchise fee equal to five percent (5%) of Gross Revenues from internet services. Grantee shall pay a franchise fee of (2%) for dedicated internet customers. Such fees shall be separate and distinct.

(B) Dedicated internet customers shall primarily be such customers that have a specific request and customized need for dedicated bandwidth. Those such customers shall only be charged a 2% dedicated franchise fee. All other customers shall be charged the 5% franchise fee.

(C) For the purpose of this Section, the monthly period applicable under the Franchise for the computation of the franchise fee shall be a calendar year unless otherwise agreed to in writing by Franchising Authority and Grantee. The franchise fee payment shall be due and payable sixty (60) days after the close of the preceding calendar year. Each payment shall be accompanied by a letter from a representative of Grantee showing the basis for the computation and a balance sheet and a profit and loss statement. Payment shall be made prior to January 31st of the following calendar year.

(D) Payment Period. Payments due to the City under this provision shall be submitted annually payable sixty (60) days following year end.

(E) Limitation on Franchise Fee Actions. The period of limitation for recovery of any franchise fee payable hereunder shall be three (3) years from the date on which payment by Grantee is due. Unless within three (3) years from and after such payment due date Franchising Authority initiates a lawsuit for recovery of franchise fees in a court of competent jurisdiction, recovery shall be barred and Franchising Authority shall be stopped from asserting any claims whatsoever against Grantee relating to alleged franchise fee deficiencies.

4.2 Rates and Charges. Franchising Authority may not regulate the rates for the provision of Internet Service or other service, including, but not limited to ancillary charges relating thereto, except as expressly provided herein and except as may be authorized pursuant to federal and state law. The applicable rates and changes shall be reflected in the attached addendum. After said time, Grantee may approach Franchise

Authority of its request. Such shall be discussed and negotiated with the Franchise Authority.

4.3 **Changes in Charges.** Except as otherwise provided by Federal law, every change in charges desired by Grantee shall first be proposed in writing by Grantee to the Franchise Authority. Such proposal shall be accompanied by a summarized written justification, and the city shall promptly inform Council. At the hearing Grantee shall be afforded the opportunity to amplify its justification. The Council shall consider the proposal, whether the submitted justification and its amplification, if any, support the proposal, and any evidence against the proposal and shall render its final decision within sixty (60) days after the proposal's submission. The Grantee shall promptly furnish pertinent information that is requested by the City. In considering such proposals the standard to be greater and no less than would be necessary for the Grantee to make a reasonable profit when Grantee provides good service under competent management. Grantee agrees to give subscribers reasonable advance notice of changes in charges or programming.

4.4 **Conditions of Sale.** Except to the extent expressly required by federal or state law, if a renewal or extension of the Franchise is denied or the Franchise is lawfully terminated, and Franchising Authority either lawfully acquires ownership of the Internet System or by its actions lawfully effects a transfer of ownership of the Internet System to another party, any such acquisition or transfer shall be at a fair market value, determined on the basis of the Internet System valued as a going concern. **If the terms of this agreement are found to be in violation of State or Federal Law, the contract and terms shall be rescinded and revoked.**

Grantee and Franchising Authority agree that in the case of a lawful revocation of the Franchise, at Grantee's request, which shall be made in its sole discretion, Grantee shall be given a reasonable opportunity to effectuate a transfer of its Internet System to a qualified third party. Franchising Authority further agrees that during such a period of time, it shall authorize Grantee to continue to operate pursuant to the terms of its prior Franchise; however, in no event shall such authorization exceed a period of time greater than six (6) months from the effective date of such revocation. If, at the end of that time, Grantee is unsuccessful in procuring a qualified transferee or assignee of its Internet System which is reasonably acceptable to Franchising Authority, Grantee and Franchising Authority may avail themselves of any rights they may have pursuant to federal or state law; it being further agreed that Grantee's continued operation of its Internet System during the six (6) month period shall not be deemed to be a waiver, nor an extinguishment of, any rights of either Franchising Authority or Grantee. Notwithstanding anything to the contrary set forth in this Section 4.4, neither Franchising Authority nor Grantee shall be required to violate federal or state law.

4.5 Transfer of Franchise. All of the rights and privileges and all of the obligations, duties and liabilities created by this Franchise shall pass to and be binding upon the successors of the Franchising Authority. Grantee shall not assign this interest without the express written consent of Franchise Authority. This Section shall not prevent the assignment or hypothecation of the Franchise by Grantee as security for debt without such approval.

SECTION 5
Compliance and Monitoring

5.1 Books and Records. Grantee agrees that Franchising Authority may review such of Grantee's books and records, during normal business hours and on a non-disruptive basis, as are reasonably necessary to monitor compliance with the terms hereof. Such records include, but are not limited to, any public records required to be kept by Grantee pursuant to the rules and regulations of the FCC. Notwithstanding anything to the contrary set forth herein, Grantee shall not be required to disclose information which it reasonably deems to be proprietary or confidential in nature. Franchising Authority agrees to treat any information disclosed to it by Grantee as confidential, and to disclose it only to employees, representatives, and agents of Franchising Authority that have a need to know, or in order to enforce the provisions hereof. Grantee understands that the Franchising Entity is subject to the Freedom of Information Act and information must be disclosed that doesn't fall within an exception. Any such disclosure by Franchise Authority shall be subject to the terms above and Franchising Authority shall indemnify Grantee from any intentional violations of ill will or harm that Franchising Authority causes with bad will. If disclosures of such information are made by Franchise Authority to third parties, third parties shall agree and be subject to the restrictions and protections against disclosures provided for in this paragraph.

5.2 Construction Codes and Permits. Grantee shall obtain any required permits from City before commencing construction involving the opening or disturbance of any street or public property. The City shall cooperate with the Grantee and use its best efforts in granting any permits required. Grantee shall arrange its lines, Internets and other appurtenances, on any street or public property, in such a manner as to cause no unreasonable interference with the usual and customary use of said street or public property by any person.

SECTION 6
Insurance, Indemnification, and Bonds or Other Surety

6.1 Insurance Requirements. Grantee shall maintain in full force and effect during the term of the Franchise, at its own cost and expense, Comprehensive General Liability Insurance in the amount of $1,000,000. Such insurance shall designate Franchising Authority as an additional insured.

6.2 Indemnification. Grantee agrees to indemnify, save and hold harmless, and defend Franchising Authority, its officers, boards and employees, from and against any liability for damages and for any liability or claims resulting from property damage or bodily injury (including accidental death) which arise out of Grantee's construction, operation or maintenance of its Internet System, including, but not limited to, reasonable attorneys' fees and costs.

6.3 Bonds and other Surety. Except as expressly provided herein, Grantee shall not be required to obtain or maintain bonds or other surety as a condition of being awarded the franchise or continuing existence. Franchising Authority acknowledges that the legal, financial, and technical qualifications of Grantee are sufficient to afford compliance with the terms of the Franchise and the enforcement thereof. Grantee and Franchising Authority recognize that the costs associated with bonds and other surety may ultimately be borne by the Subscribers in the form of increased rates for Internet Service or other service. In order to minimize such costs, Franchising Authority agrees to require bonds and other surety only in such amounts and during such times as there is a reasonably demonstrated need therefor. Franchising Authority agrees that in no event, however, shall it require a bond or other related surety in an aggregate amount greater than $100,000, conditioned upon the substantial performance of the material terms, covenants, and conditions of the Franchise. Initially, no bond or other surety shall be required. In the event that one is required in the future, Franchising Authority agrees to give Grantee at least ninety (90) days prior written notice thereof stating the exact reason for the requirement. Such reason must demonstrate a change in Grantee's legal, financial, or technical qualifications which would materially prohibit or impair its ability to comply with the terms of the Franchise or afford compliance therewith.

SECTION 7
Enforcement and Termination of Franchise

7.1 Notice of Violation. City shall provide Grantee with a detailed written notice of any Franchise violation upon which it proposes to take action, after which there shall be a ninety (90) day period within which Grantee may demonstrate that a violation does not exist or may cure an alleged violation, or, if the violation cannot be corrected in 90 days, may submit a plan satisfactory to the city to correct the violation. During the initial term and any extension thereof, the City may at any time and after notice to the Grantee of not less than 30 days (such notice to be in writing), conduct a review of Grantee's performance; provided that such review shall not be conducted more frequently than once per 12-month period in the absence of Grantee's failure of substantial compliance with the Franchise. The Grantee shall cooperate in such review by granting the City's representative's access to its facilities and by responding to reasonable queries and requests for information consistent with the purposes of such review. The purposes of

such review(s) shall be to discover whether the Grantee has used and is using due diligence to provide Internet service to residents of City of Rector who are eligible for such service; reasons for poor quality of Internet service; whether grantee is handling or has handled complaints promptly and satisfactorily under the circumstances; whether Grantee is paying proper franchise fees; whether Grantee has any legitimate complaints against the City and if so how such complaints can be resolved; any reasons for unsatisfactory programming; assessing the general competence of Grantee's management of the system as related to service quality and to subscriber satisfaction; and in general the degree to which Grantee is complying with the terms of this Franchise.. If any such review discloses that in the view of the City the Grantee is not in substantial compliance with this franchise, the Grantee shall be notified in writing of the City's findings. If Grantee does not cure the deficiencies within 90 days or provide a written justification for failing to do so, then such failure to cure and to provide the justification shall be material breach of this Franchise.

7.2 Grantee's Right to Cure or Respond. Grantee shall have ninety (90) days from receipt of the notice described in Section 7.1: (a) to respond to Franchising Authority contesting the assertion of default; (b) to cure such default; or (c) in the event that, by the nature of the default, such default cannot be cured within the ninety (90) day period, to initiate reasonable steps to remedy such default and to notify Franchising Authority of the steps being taken and the projected date that they will be completed.

7.3 Revocation. The City may revoke the Franchise only after declaration of default and for violation of the material terms of this Franchise.

7.4 Enforcement. Subject to applicable federal and state law, in the event Franchising Authority determines, after such meeting, that Grantee is in default of any provision of the Franchise, Franchising Authority may:

(a) Foreclose on all or any part of any security provided under the Franchise, if any, including, without limitation, any bonds or other surety; provided, however, that the foreclosure shall only be in such a manner and in such an amount as Franchising Authority reasonably determines is necessary to remedy the default; or

(b) Commence an action at law for monetary damages or seek other equitable relief; or

(c) In the case of a substantial default of a material provision of the Franchise, declare the franchise Agreement to be revoked; or

(d) Seek specific performance of any provision which reasonably lends itself to such remedy, as an alternative to damages.

Grantee shall not be relieved of any its obligations to comply promptly with any provisions of the Franchise, nor suffer any enforcement or penalty relating thereto, where such alleged default is caused by strikes, acts of God, power outages, or other events reasonably beyond its ability to control.

SECTION 8
Unauthorized Reception

8.1 Misdemeanor. In addition to those criminal and civil remedies provided by state and federal law, it shall be a misdemeanor for any Person to create or make use of any unauthorized connection, whether physically, electrically, acoustically, inductively, or otherwise, with any part of the Internet System without the express consent of Grantee, it shall be a misdemeanor for any Person to tamper with, remove, or injure any property, equipment, or part of the Internet System or any means of receiving Internet Service or other service. Subject to applicable federal and state law, Franchising Authority shall incorporate into its criminal code, if not presently a part thereof, criminal misdemeanor law which shall enforce the intent of this Section 8.1

SECTION 9
Miscellaneous Provisions

9.1 Preemption. If the FCC or any other federal or state body or agency shall now or hereafter exercise any paramount jurisdiction over the subject matter of the Franchise, then to the extent such jurisdiction shall preempt and supersede or preclude the exercise of the like jurisdiction by Franchising Authority, the jurisdiction of Franchising Authority shall cease and no longer exist.

9.2 Employment Requirements. Grantee shall afford equal opportunity in employment to all qualified persons. No person shall be discriminated against in employment because of race, color, religion, national origin or sex. Grantee shall maintain and carry out a continuing program of specific practices designed to assure equal opportunity in every aspect of its employment policies and practices.

9.3 Severability. If any law, ordinance, regulation or court decision shall render any provision of this Franchise invalid, the remaining provisions of the franchise shall remain in full force and effect.

9.4 Actions of Franchising Authority. In any action by Franchising Authority or representative thereof mandated or permitted under the terms hereof, such

party shall act in a reasonable, expeditious and timely manner. Furthermore, in any instance where approval or consent shall not be unreasonably withheld.

9.5 Laws Governing. This Franchise shall be governed by and construed in accordance with the laws of the State of Arkansas, and applicable federal law.

9.6 Notice. Unless expressly otherwise agreed between the parties, every notice or response to be served upon Franchising Authority or Grantee shall be in writing, and shall be deemed to have been duly given to the required party five (5) business days after having been posted in a properly sealed and correctly addressed envelope by certified or registered mail, postage prepaid, at a Post Office or branch thereof regularly maintained by the U.S. Postal Service.

The notices or responses to Franchising Authority shall be addressed as follows:

City of Rector
Attn:

The notices or responses to Grantee shall be addressed as follows:

Clay County Connect
Attn: CEO

Franchising Authority and Grantee may designate such other address or addresses from time to time by giving written notice to the other party.

9.7 Descriptive Headings. The captions to Sections contained herein are intended solely to facilitate the reading thereof. Such captions shall not affect the meaning or interpretation of the text herein.

9.8 Severability. If any Section, sentence, paragraph, term or provision hereof is determined to be illegal, invalid, or unconstitutional, by any court of competent jurisdiction of by any state or federal regulatory authority having jurisdiction thereof, such determination shall have no effect on the validity of any other Section, sentence, paragraph, term or provision hereof, all of which shall remain in full force and effect for the term of the Franchise, or any renewal or renewals thereof.

PASSED AND ADOPTED on this 13th day of February, 2025 subject to applicable federal, state and local law.

CITY OF RECTOR, ARKANSAS

By:_____
Mayor

ATTEST:

_____
City Clerk

Accepted this 13th day of February, 2025, subject to applicable federal, state and local law.

Clay County Connect

By:_____
Authorized Representative